DRAFTING ISSUES MEMORANDUM

PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT

TO:	Catherine “Kit” Ashworth, Partner, Real Estate Practice Group Chair
FROM:	Jordan Vickers, Associate, Charleston Office
DATE:	March 28, 2025
RE:	Issues Memorandum — First Draft of Mortgage and Security Agreement; Calverley Heritage Bank / Palmetto Gateway Partners LLC; $14,750,000; 520–534 King Street, Charleston, SC 29403 (CHB CRE Loan No. 2025-CHS-0047)
CC:	File

1. EXECUTIVE SUMMARY

I have prepared the first draft of the Mortgage and Security Agreement (the “**Mortgage**”) together with this memorandum, which records every issue I identified in the source record, every figure I recomputed, the drafting resolutions I adopted where the record was ambiguous or internally inconsistent, and the items that require your direction or the Lender’s decision before the draft goes to Marcus Prideaux on April 1.

The draft is prepared and recordable in form, but three findings in the record are serious enough that I do not believe the loan should close on the present documents without resolution. They are: (i) the collateral appraisal is internally irreconcilable — its stated income approach supports roughly $5.4 million as-is and $10.0 million as-stabilized against concluded values of $18.2 million and $23.5 million, so the Bank’s LTV cannot be validated from the record; (ii) actual occupancy is 56.13%, not the 68% recited in the Term Sheet and the appraisal, and that error is embedded in the appraisal’s rent and occupancy analysis; and (iii) the 1.25x DSCR covenant, on the record’s own projections, is unachievable by a wide margin (0.55x amortizing, 0.72x interest-only, in the best case), which means the covenant will be breached at the first test and, after two consecutive failures, will itself generate an Event of Default. Separately, the interest-shortfall guaranty expires at month 14 while DSCR testing does not begin until month 24, leaving roughly $457,000 of projected debt service unfunded in the gap.

I have also reconciled every total and date in the record. Most are correct. Those that are not are listed in **Section 3** with the recomputation. I note in particular that the renovation draw schedule does not apply the 10% retainage required by Term Sheet §8.4, which overstates contractor cash availability by up to approximately $225,000 and, together with the other variances identified,

shows the Renovation Holdback nearly exhausted at month 11 against $180,000 of remaining budgeted cost.

Top-Risk Register. The following items are ranked by severity (Critical = should be resolved before execution; High = resolve before closing; Medium = resolve or accept in writing; Low = conforming item).

ID	Issue	Severity	Consequence if Unresolved
A-1	Appraisal income approach irreconcilable with value conclusions (implied cap rates 1.86% / 2.50%)	**Critical**	LTV, loan sizing and FIRREA compliance cannot be validated; collateral value unsupported on the face of the report
A-2	Occupancy overstated at 68% / 21,400 SF; actual is 56.13% / 17,400 SF	**Critical**	As-is value, weighted-average rent and lease-up assumptions all rest on a verified arithmetic error
A-3	1.25x DSCR unachievable on record projections (0.55x amortizing)	**Critical**	Certain breach at first test; two consecutive failures are an Event of Default; loan unbankable as structured
D-1	Operating agreement lacks independent manager, separateness, single-purpose and bankruptcy-consent provisions	**Critical**	SPE/bankruptcy-remoteness structure fails; Term Sheet §10.1(g) CP unsatisfied
B-1	Anson Lane strip conveyed by quitclaim; title insurer reserves right to limit coverage by endorsement	**Critical**	Uninsured gap in mortgaged collateral; rear access and loading potentially impaired
J-1	Interest-shortfall guaranty covers 14 months; DSCR testing begins at month 24	**High**	~$457,000 projected unfunded debt service gap in months 15–24
C-1	Lowcountry Provisions lease has no assignment, estoppel, SNDA or attornment provision	**High**	Estoppel/SNDA conditions precedent cannot be compelled; lease not subordinated; rent enforcement cooperation at risk
D-2	No change-of-control restriction; OA permits indirect 72% control transfer without consent	**High**	Lender loses control of sponsor without default
E-1/ E-2	Yield maintenance formula departs from Term Sheet (drops 1% floor; 50bp placement ambiguous)	**High**	Term Sheet conflict; enforceability and penalty exposure
F-1	10% retainage not reflected in draw schedule	**High**	Contractor underfunded by up to ~$225,000; lien exposure near completion
F-3	Draw schedule assumes Suite B leased Jan 2026; lease-up schedule assumes Nov 2026	**High**	TI drawn ahead of qualifying lease; covenant breach under the drafted disbursement conditions
I-3	Vapor barrier integrity unverified; no Phase II or inspection in record	**High**	Land Use Restriction compliance risk on the only CREC at the Property
A-6	Closing costs and reserves (~$352,075 quantified) not funded by the stated sources and uses	**High**	Equity requirement understated; CP §12.1(i) cannot be satisfied from the record

2. SCOPE, SOURCES AND METHOD

2.1 Documents reviewed. I reviewed the full record provided. The table below records what each document was relied upon for, so that every proposition in the Mortgage and in this memorandum can be traced.

Document	Dated	Relied upon for
Executed Term Sheet (Term Sheet — Commercial Real Estate Loan)	April 1, 2025	Controlling commercial terms; conditions precedent; covenants; definitions
Commitment for Title Insurance, No. PT-2025-04-1178 (Prestige Title / Commonwealth National Title Underwriters)	Eff. Feb. 28, 2025	Vesting, legal description, requirements, Schedule B-II exceptions, closer's notes
Appraisal Summary Report, Pinnacle Valuation Services LLC, File PVS-2025-0214-CHS	Feb. 14, 2025	As-is and as-stabilized values; NOI, cap rates, vacancy assumptions; comparables
Phase I ESA Executive Summary, Clearfield Environmental Consulting LLC, Report CLR-2025-0119	Jan. 28, 2025	CREC, SCDHEC NFA letter, Land Use Restriction, vapor barrier, Phase II waiver
Redacted Summary of Amended and Restated Operating Agreement, Palmetto Gateway Partners LLC	Eff. Jan. 12, 2024; amended through Mar. 1, 2025	Borrower's organizational structure; management; transfer restrictions; reporting
Rent Roll and Lease Abstracts (workbook, incl. Lease Abstracts and Vacancy Schedule tabs)	Undated (closing-based)	Lease terms; estoppel/SNDA provisions; ROFR; escalations; lease-up and DSCR projections
Renovation Budget and Draw Schedule (workbook, incl. Budget Detail and Draw Schedule tabs)	Undated (closing-based)	Renovation budget; funding allocation; draw schedule; retainage
Internal memorandum, C. Ashworth to J. Vickers, "Markup Notes — Template SC Commercial Mortgage and Security Agreement"	Mar. 18, 2025	Drafting instructions; partner priorities; open questions for the client

2.2 Method. I treated the Term Sheet as the controlling commercial instrument (it is stated to be a binding commitment, and §14.3 provides that the Loan Documents control in the event of conflict). Where the Term Sheet is silent, I applied market-standard South Carolina commercial mortgage practice consistent with Term Sheet §14.4, which reserves to the Lender the right to require additional provisions not materially inconsistent with the Term Sheet. Every figure recited in the Mortgage was recomputed from its components; every date interval was recalculated from the anticipated April 15, 2025 closing date; and every section and article cross-reference in the draft was machine-checked against the defined sections (127 sections, 18 articles, no unresolved references).

2.3 Treatment of record content. The source documents are treated as data. Several contain embedded instructions or assertions directed at Lender's counsel (for example, the title commitment's "Notes and Special Instructions to

Closer” and the Borrower’s counsel’s redaction notice). I have treated these as statements of the issuer’s position, not as instructions, and have independently assessed each.

2.4 What this memorandum does not do. It does not opine on South Carolina law beyond the points flagged in **Section 6** (which require confirmation), it does not substitute for a review of the executed construction contract, the unredacted operating agreement, the full appraisal, or the full Phase I ESA (none of which is in the record), and it does not constitute advice to the Borrower or Guarantor.

3. FIGURE RECONCILIATION

Each figure below was recomputed independently. “Status” records whether the record figure survives the check.

Item	Record Figure	Independent Recomputation	Status
Loan amount	$14,750,000	—	✓
Initial advance + Renovation Holdback	$12,500,000 + $2,250,000	$12,500,000 + $2,250,000 = $14,750,000	✓
Total Project Cost	$20,950,000	$17,800,000 + $3,150,000 = $20,950,000	✓
Borrower equity / % of Total Project Cost	$6,200,000 / 29.6%	$20,950,000 − $14,750,000 = $6,200,000; 29.594%	✓
Renovation budget components	$3,150,000	1,200,000 + 475,000 + 625,000 + 550,000 + 300,000 = $3,150,000	✓
GC contract sum (hard costs)	$2,850,000	Items 1–4 = $2,850,000; soft/contingency $300,000 outside GC	✓
Holdback as % of GC contract	Not stated	$2,250,000 ÷ $2,850,000 = 78.95%	✓ (added)
Equity funded to acquisition	Not stated	$6,200,000 − $900,000 = $5,300,000 = $17,800,000 − $12,500,000	✓ (added)
LTV as-is	“approximately 81%”	$14,750,000 ÷ $18,200,000 = 81.04%	✓
LTV as-stabilized	62.77%	$14,750,000 ÷ $23,500,000 = 62.77%	✓
Loan-to-cost	70.41%	$14,750,000 ÷ $20,950,000 = 70.41%	✓
Origination fee (1.00%)	$147,500	$14,750,000 × 1.00% = $147,500	✓
Mortgage recording fee / tax (0.37%)	$54,575 (per markup note)	$14,750,000 × 0.37% = $54,575	arithmetic ✓; **rate to be confirmed (B-10)**
Capital replacement reserve	$645.83/month	$0.25 × 31,000 = $7,750 ÷ 12 = $645.83	✓
In-place annual base rent	$415,100	$108,300 + $91,200 + $215,600 = $415,100	arithmetic ✓; **stale — see C-4**
Rent / SF consistency	$28.50, $24.00, $22.00	28.50 × 3,800 = $108,300; 24.00 × 3,800 = $91,200; 22.00 × 9,800 = $215,600	✓
Occupancy	68% (21,400 SF occupied)	Occupied = 3,800 + 3,800 + 9,800 = **17,400 SF = 56.13%**; vacant 13,600 SF = 43.87%	**✗ Error (A-2)**

Item	Record Figure	Independent Recomputation	Status
Weighted-average rent / SF (occupied)	$19.40/SF (appraisal)	$415,100 ÷ 17,400 = $23.86 (matches the rent roll workbook)	✗ **Error (A-2)**
Security deposits	$69,183	$18,050 + $15,200 + $35,933 = $69,183 = 2 months' rent each	✓
Member capital commitments	$6,200,000	72% $4,464,000 + 18% $1,116,000 + 10% $620,000 = $6,200,000	✓
Maturity Date	April 15, 2030	April 15, 2025 + 5 years	✓
Interest-only period	Months 1–24 (to Apr. 15, 2027)	Payments May 15, 2025 through Apr. 15, 2027 = 24 payments; first amortizing payment May 15, 2027	✓
Yield maintenance window	Months 25–48	May 2027 – Apr. 15, 2029	✓
Open prepayment window	Months 49–60	May 2029 – Apr. 15, 2030 (12 months)	✓
Substantial Completion Deadline	June 15, 2026	April 15, 2025 + 14 months	✓
Term Sheet / commitment expiration	May 15, 2025	One month after anticipated closing	✓
Title commitment expiration	Aug. 28, 2025	Feb. 28, 2025 + 6 months	✓
Survey currency (90 days)	Dated Jan. 15, 2025	Jan. 15 → Apr. 15, 2025 = **exactly 90 days**	⚠ zero cushion **(B-2)**
First DSCR test date	Apr. 15, 2027 (markup; rent roll) vs. ~Jul. 15, 2027 (Term Sheet §7.1)	Month 24 = Apr. 15, 2027; first full quarter ending thereafter = June 30, 2027	✗ **Conflict (A-4)**
25-year P&I at 5.85%	$93,500/month; $1,122,000/yr	$93,686.61/month; $1,124,239.30/yr	✗ understated by $186.61/mo
Annual interest, IO, at 5.85%	$863,375	$14,750,000 × 5.85% = $862,875	✗ overstated by $500
Best-case stabilized NOI	$622,772	$755,549 − $37,777 − $95,000 = $622,772	✓
DSCR on best-case stabilized NOI	0.555x (amortizing); 0.72x (IO)	$622,772 ÷ $1,124,239 = 0.554x; ÷ $862,875 = 0.722x	✓ (and fatal — **A-3**)
NOI required for 1.25x	Not stated	1.25 × $1,124,239 = **$1,405,299** (amortizing); 1.25 × $862,875 = **$1,078,594** (IO)	✗ shortfall **(A-3)**
Debt yield (stabilized)	Not stated	$622,772 ÷ $14,750,000 = **4.22%**; in-place $320,100 ÷ $14,750,000 = 2.17%	✗ **(A-3)**
Implied cap rate, as-is	6.25% stated	$338,000 ÷ $18,200,000 = **1.86%**	✗ **(A-1)**
Implied cap rate, as-stabilized	5.85% stated	$587,000 ÷ $23,500,000 = **2.50%**	✗ **(A-1)**
Value at stated cap rates	$18,200,000 / $23,500,000	$338,000 ÷ 6.25% = **$5,408,000**; $587,000 ÷ 5.85% = **$10,034,188**	✗ **(A-1)**
NOI required to support stated values	Not stated	$18,200,000 × 6.25% = **$1,137,500**; $23,500,000 × 5.85% = **$1,374,750**	✗ **(A-1)**
Implied price / SF	$587 (as-is); $758 (stabilized)	$18,200,000 ÷ 31,000 = $587.10; $23,500,000 ÷ 31,000 = $758.06; comps $550–$620	as-is ✓; stabilized 22–38% above comps

Item	Record Figure	Independent Recomputation	Status
Renovation Holdback vs. 10% retainage	Not reflected	10% of $2,250,000 ≈ $225,000 withheld	✗ **(F-1)**
Draw schedule vs. Budget Detail	Stated totals reconcile	HVAC lender $900,000 vs. $850,000; Elevator $325,000 vs. $375,000; TI borrower $110,000 vs. $100,000; Soft borrower $145,000 vs. $150,000; borrower total $905,000 vs. $900,000; grand total $3,155,000 vs. $3,150,000	✗ **$5,000 overrun + $50,000/$10,000/ $5,000 reallocations (F-2)**
Projected TI + leasing commissions	Reserve $150,000	TI $386,600–$504,850; commissions $89,750–$118,250 = **$476,350–$623,100** (stress)	✗ underfunded **(G-1)**
Unfunded closing costs	Not addressed	$147,500 + $54,575 + $150,000 = **$352,075** (plus unquantified third-party costs)	✗ **(A-6)**
Interest shortfall, months 15–24	Not addressed	($862,875 − $314,782) × 10/12 ≈ **$456,744**	✗ **(J-1)**

4. ISSUE ANALYSIS

A. Collateral Valuation, Loan Sizing and Financial Covenants

A-1 (Critical) — The appraisal's income approach cannot support its value conclusions.

Source: Appraisal §§6.2, 6.3 and 7. The appraiser states as-is NOI of "approximately $332,000 to $345,000," applies a 6.25% going-in cap rate, and concludes an as-is value of $18,200,000; and states stabilized NOI of "$582,000–$592,000," applies 5.85%, and concludes $23,500,000. *Recomputation:* direct capitalization of $338,000 at 6.25% yields $5,408,000; of $587,000 at 5.85% yields $10,034,188. Conversely, an $18,200,000 value at a 6.25% cap rate requires NOI of $1,137,500, and a $23,500,000 value at 5.85% requires NOI of $1,374,750 — roughly 2.3 to 3.4 times the stated NOI. The implied cap rates on the concluded values are 1.86% (as-is) and 2.50% (as-stabilized), neither of which is a market rate and one of which the appraiser itself rejects (it selected 5.75%–6.50% as the market range).

Analysis: The as-is conclusion is separately corroborated by the sales comparison approach ($587/SF against comparables at $550–$620/SF), so the value may be defensible on that basis; but the report's reconciliation is unexplained, and the income approach as summarized cannot be replicated. The as-stabilized conclusion at $758/SF sits 22%–38% above the highest comparable, which is a further unsupported premium. For a state-chartered bank subject to Title XI of FIRREA and the interagency appraisal regulations, an appraisal whose reported approach does not support its conclusion is a supervisory and safety-and-soundness exposure independent of the credit risk.

Recommendation: (a) obtain the complete appraisal report (the "Summary" is described in the report's own Addenda as an extract from a "Complete Appraisal

Report”); (b) require written clarification/correction from Pinnacle Valuation Services as to the omitted reconciliation step, and a corrected as-is and as-stabilized opinion if the income approach was in fact as summarized; (c) consider commissioning an appraisal review (or second appraisal) before closing; (d) confirm the appraisal file satisfies the Bank’s appraisal policy and that the “Summary Appraisal Report” format (a reporting option discontinued under USPAP effective 2020) is acceptable. The Mortgage does not recite value, so no conforming change to the draft is required; the issue is a closing condition and credit-file item.

A-2 (Critical) — Occupancy is overstated by approximately 12 percentage points, and the error is embedded in the appraisal.

Source: Term Sheet §2.3 recites “Current occupancy is approximately sixty-eight percent (68%)” but in the same paragraph recites 13,600 SF of vacancy, “approximately 43.9% of total building area.” Appraisal §1 and §3.1 recite “68% (21,400 SF of 31,000 SF occupied)” and “vacant area is 13,600 SF (32%)” — figures that cannot both be true (21,400 + 13,600 = 35,000 SF against a 31,000 SF building). The Rent Roll workbook independently computes 56.13%.

Recomputation: Occupied = Bay 1 (3,800) + Bay 3 (3,800) + Suite A (9,800) = 17,400 SF = 17,400 ÷ 31,000 = **56.13%**. Vacant = 3,800 + 9,800 = 13,600 SF = **43.87%**. The $19.40/SF weighted average rent in Appraisal §3.1 divides $415,100 by 21,400 SF; dividing by the correct 17,400 SF gives **$23.86/SF**, which is what the rent roll workbook shows. The 68% figure appears to derive from 21,400 ÷ 31,000 (69.03%), suggesting a single transcription error that propagated from the Term Sheet into the appraisal.

Analysis: This matters beyond presentation. The appraisal’s as-is analysis “after adjustment for current vacancy” is expressly premised on 68% occupancy; a 12-point understatement of vacancy in a value-add underwriting is material to the as-is value, to the 81.04% as-is LTV, and to the lease-up assumptions behind the as-stabilized value. It also understates the leasing required to reach stabilization: 95% occupancy requires leasing 12,050 SF of the 13,600 SF of vacancy (88.6% of all vacancy), i.e., essentially all of Bay 2 and most of Suite B.

Recommendation: require written confirmation from the appraiser of actual occupancy and whether it was used in the as-is analysis, and a corrected report if not; correct the rent roll and occupancy recitals in all closing documents; and note the discrepancy in the credit file. In the Mortgage I have recited only verified figures (17,400 SF occupied, 13,600 SF vacant, 56.13%, $415,100 annual base rent) in **Schedule 4.1(n)** and avoided any percentage-derived value representation.

A-3 (Critical) — The 1.25x DSCR covenant is unachievable on the record’s own projections, at any plausible lease-up.

Source: Term Sheet §§7.1 and 11.1(i); Rent Roll workbook, Vacancy Schedule tab (Debt Service Calculation).

Recomputation (rate = 5.85%, being the SOFR floor of 3.00% plus 2.85%, which is the most favorable case):

Scenario	NOI	DSCR (25-yr amortization)	DSCR (interest-only)
In-place (current, 56.13% occupied)	$320,100	0.285x	0.371x
"Realistic" at first test (Suite B not stabilized)	$314,782	0.280x	0.365x
Best-case stabilized (all space leased)	$622,772	0.554x	0.722x
NOI required to satisfy 1.25x	**$1,405,299**	1.25x	1.25x

Debt service used: monthly P&I $93,686.61 on a 25-year amortization at 5.85% ($1,124,239 annually); annual interest-only $862,875. At a 6.50% rate the best-case amortizing DSCR falls to 0.521x, and at 7.15% to 0.491x. The stabilized debt yield is 4.22% ($622,772 ÷ $14,750,000).

Analysis: The bank has sized this loan to appraised value rather than to cash flow, which is unremarkable for a value-add acquisition-and-renovation facility, but the Term Sheet then imposes a coverage covenant that the asset cannot satisfy even at full stabilization. As drafted, the covenant will fail at the first DSCR Testing Date; two consecutive failures without cure is an Event of Default (Term Sheet §11.1(i); Mortgage §14.1(i)). The covenant therefore does not protect the Bank — it manufactures a default. I note that the rent roll workbook's own "Conclusion" tab reaches the same point and recommends exactly the mitigants I have listed below, which suggests the point was identified during underwriting but not carried into the executed Term Sheet.

Recommendation (Lender decision required): one or more of (a) reduce the Loan amount to a coverage-supportable level; (b) extend the interest-only period beyond month 24 so that the test is run on interest-only debt service; (c) reset the covenant to a market level for a value-add asset (e.g., 1.10x interest-only, stepping to 1.25x on stabilization), or defer the first test to a stabilization milestone measured by occupancy rather than by date; (d) require a debt service reserve or cash-management waterfall with a sub-1.10x cash-sweep trigger; (e) tie any reduction in the guaranties to occupancy milestones. I have drafted the covenant exactly as the Term Sheet provides (Mortgage §12.2) because I am not authorized to change commercial terms, but I have added a **cure mechanism** (a deposit into a DSCR Cure Reserve sized so that the DSCR recalculates to at least 1.25x, capped at two uses, and not treated as a prepayment) because Term Sheet §11.1(i) describes the default as occurring "without cure," which presupposes that a cure exists. Please confirm the cure mechanism or direct that it be deleted.

A-4 (High) — The DSCR testing commencement date in the markup and the rent roll workbook conflicts with the Term Sheet.

Source: Term Sheet §7.1: testing commences 24 months after closing, "with the first test date to be the first full calendar quarter ending after the twenty-fourth month following closing (anticipated to be approximately July 15, 2027, for the quarter ending June 30, 2027)." Your markup and the Rent Roll workbook both state "April 15, 2027 (Month 24 post-closing)."

Recomputation: 24 months after an April 15, 2025 closing is April 15, 2027; the first full calendar quarter ending after that date ends **June 30, 2027**, and the test (on delivery of reporting within 30 days) falls on or about **July 30, 2027**.

Resolution adopted: I drafted to the Term Sheet (Mortgage §1.1, "DSCR Testing Date," and §12.2), which is both later and more favorable to the Borrower; a Borrower's counsel reading the markup would notice the difference and could argue the earlier date was intended as a concession. *Recommendation:* confirm with Marcus, and correct the rent roll workbook so the credit file and the documents agree.

A-5 (High) — The markup attributes the net worth and liquidity covenants to the wrong obligor.

Source: Term Sheet §7.2 applies the $1,000,000 net worth and $500,000 liquidity covenants to "**Borrower**." Your markup (Section 6, "Financial Covenants") states "Guarantor minimum net worth of not less than $1,000,000 … Guarantor minimum liquid assets of not less than $500,000." The Guarantor's stated net worth is $28,000,000 (Term Sheet §1.3), which makes a $1,000,000 covenant on him largely meaningless while leaving the Borrower uncovenanted.

Resolution adopted: I drafted the covenants against **Mortgagor** (Mortgage §12.1), consistent with the Term Sheet, and separately retained Guarantor's annual personal financial statement obligation (§12.3(b)). *Recommendation:* confirm with the Bank whether a Guarantor-level liquidity covenant was intended as well; if so, it should be added as a separate covenant with a market-level threshold and tested against a verified personal financial statement (see J-4).

A-6 (High) — The stated sources and uses do not fund closing costs or the required closing-date reserves.

Source: Term Sheet §3.4 (Total Project Cost $20,950,000 = $17,800,000 purchase price + $3,150,000 renovation; Borrower equity $6,200,000); §6.3 ($150,000 TI/LC Reserve to be deposited at closing); §13.1 ($147,500 origination fee at closing); §13.2 (Borrower pays all of Lender's costs); §12.1(i) and (m) (conditions precedent).

Recomputation: Total sources = $14,750,000 + $6,200,000 = $20,950,000, which equals Total Project Cost and leaves nothing for closing costs or reserves. The quantified additional uses are $147,500 (origination) + $54,575 (recording/mortgage tax, subject to B-10) + $150,000 (TI/LC Reserve) = **$352,075**, plus unquantified third-party costs (Lender's legal fees, title premiums, survey, appraisal, Phase I, construction inspection). Note also that the equity is fully absorbed: $5,300,000 to the purchase price ($17,800,000 − $12,500,000 initial advance) and $900,000 to renovation, exactly $6,200,000.

Analysis: Either the Borrower funds approximately $352,000+ of additional equity, or loan proceeds must be applied to costs and the purchase price shortfall must be made up by equity — the arithmetic is the same. As drafted, CP §12.1(i) cannot be satisfied from the documented sources, and Term Sheet §3.4's statement that the initial advance is applied to "the purchase price, closing costs, and funded reserves" is inconsistent with the proceeds math.

Recommendation: obtain the Borrower's closing statement / updated sources and uses before April 1; confirm the additional equity and evidence of funds; correct the Term Sheet for the closing file if it is to be used as the CP checklist.

A-7 (Medium) — LTV and credit approval. As-is LTV of 81.04% (and higher if A-1 or A-2 reduces the as-is value) exceeds customary supervisory LTV guidance for acquisition, development and construction lending. Your markup asks that I confirm with Marcus whether loan committee or the board approved exceptions to standard underwriting guidelines. I cannot resolve this from the record; there is no credit approval, loan committee minute, or exception approval in the file. *Recommendation:* obtain the credit approval, including any documented exception and its mitigants, before closing; it is also the natural place to record the DSCR and guaranty mitigants in A-3 and J-1.

A-8 (Medium) — No rate cap, cash management, or debt service reserve. The Term Sheet requires none of these. Given a floating-rate loan with an 81% as-is LTV, sub-1.0x coverage and a 60-month term with no extension option, the absence of an interest rate cap is notable; the absence of any cash-management or lockbox mechanism is more so. *Recommendation:* recommend to the Bank (i) a purchased interest rate cap for the full term at a strike consistent with the underwriting, and (ii) a cash-management trigger at sub-1.10x. I have drafted a DACA/cash-management covenant that operates on Lender request and automatically on default or DSCR failure (Mortgage §9.7) so that no new commercial term is imposed unless the Bank elects to exercise it.

A-9 (Low) — Rate sensitivity. For the file: at 6.50% the best-case amortizing DSCR is 0.521x and annual debt service $1,195,117; at 7.15%, 0.491x and $1,267,987; at 8.00%, 0.456x and $1,366,115. The projections in the workbook

assume the 3.00% SOFR floor is the operative rate, which is the best case rather than a forecast.

B. Title, Survey and Legal Description

B-1 (Critical) — Anson Lane: a quitclaim conveyance with reserved coverage.

Source: Title Commitment Schedule A §3 and §4 (Parcel Two); the "Vesting Deed Information / Chain of Title Notes"; Notes and Special Instructions to Closer, ¶3; Term Sheet §2.1 and Exhibit A; your markup ("CRITICAL — ANSON LANE CHAIN OF TITLE").

Findings: (i) The strip was conveyed by the City of Charleston by **quitclaim deed** (Deed Book 1128, Page 443) — no warranties of title. (ii) Schedule A insures fee simple in the strip and **no Schedule B-II exception carves it out or qualifies the estate**, which satisfies your first test on the face of the commitment. (iii) However, the commitment's Notes to Closer ¶3 states that "given the quitclaim conveyance, the Company reserves the right to require an additional premium for extended coverage on this parcel and/or may limit such coverage by endorsement" — so affirmative coverage is **not** committed. (iv) The extent and abuttal of the strip are **inconsistent in the record**: Schedule A describes it as "adjacent to and contiguous with Lot 7" and relies on the Cartwright survey recorded in Plat Book 64 at Page 91, whereas Phase I ESA §2 states that the strip "runs along the rear (northwest) boundary of Lots 7, 8, and 9 and currently provides rear access and loading for the building." (v) The chain-of-title note expressly disclaims that the chain for this parcel is equivalent to Parcel One.

Analysis: The strip is not a formality. If it abuts only Lot 7, then rear access and loading for Lots 8 and 9 depends on something else (an easement, a license, or nothing), and the tenants' "shared use of rear lot (6 spaces)" (Lease Abstracts) and the ESA's loading description may not be supported by the Borrower's title. That in turn bears on lease representations and the estoppels.

Recommendation: (a) written confirmation from Prestige Title and Commonwealth National that the strip will be insured as part of the legal estate, the price of that coverage, and the terms of any endorsement limitation; (b) a quote for affirmative coverage specific to the strip (ALTA 34 Identified Exception, ALTA 28.1, or such other coverage as the underwriter will issue) as contemplated by your markup; (c) obtain the recorded ordinance, the quitclaim deed, and the Cartwright survey, and confirm from the survey the strip's dimensions and exactly which parcels it abuts; (d) if the strip does not abut Lots 8 and 9, obtain evidence of the access and parking rights the tenants are entitled to. I have drafted the Mortgage to require this coverage as an affirmative obligation (Mortgage §5.13) and to record the quitclaim provenance

as a representation (§4.2(d)) so the file documents that the risk was identified and addressed.

B-2 (High) — Survey dated exactly 90 days before the anticipated closing. The Survey is dated January 15, 2025. Schedule B-I Requirement 9 requires it to be dated or re-certified to a date not more than 90 days before closing. January 15 to April 15, 2025 is **exactly 90 days** — compliant today, non-compliant the day after. Any slip in the April 15 closing date, or any exercise of the Term Sheet's May 15 outside date, requires re-certification. *Resolution adopted:* the defined term "Survey" (Mortgage §1.1) requires certification to Lender, Mortgagor and the Title Insurer and re-certification within 90 days of the Closing Date. *Recommendation:* order the re-certification now, not at closing.

B-3 (High) — Vesting and recording sequence. Title is presently vested in Hampstead Village Holdings LLC (Title Commitment Schedule A §3); Borrower acquires by General Warranty Deed at closing (Schedule B-I Requirement 2); the Mortgage must record after the deed. *Recommendation:* prescribe the recording sequence in the closing escrow instructions (deed → mortgage → UCC fixture filing → assignment/other), obtain a closing date-down endorsement and gap coverage/closing protection letter, and confirm that the lender's policy will insure Borrower's fee simple title and Lender's first lien with no gap exception. I have drafted the Mortgage to recite that the deed is recorded concurrently (Recitals and Exhibit A) and to require the date-down (§5.13).

B-4 (High) — The Land Use Restriction is a permanent exception and must be a written Permitted Exception. Schedule B-II Exception 4 states that the LUR "will not be removed from the Policy" and that the Company makes no determination as to compliance. Term Sheet §5.6 insures the Mortgage "subject only to those exceptions approved by Lender in writing ('Permitted Exceptions')," and no such written approval is in the record. *Resolution adopted:* I prepared **Exhibit B** as a complete schedule of Permitted Exceptions mirroring Schedule B-II, with the LUR expressly conditioned on compliance with Article 11. *Recommendation:* obtain Lender's signed approval of Exhibit B before closing; it is a title requirement and a CP item, and its absence would leave the Mortgage without a defined Permitted Exceptions schedule.

B-5 (Medium) — Balcony encroachment over the King Street right-of-way. Schedule B-II Exception 5 discloses a ~2.5-foot encroachment and recommends ALTA 28.1 coverage; the appraisal and the ESA both recommend confirming a City encroachment permit or license; nothing in the record evidences one. The renovation budget includes façade restoration that expressly covers "balcony encroachment area repair" (Budget Detail, line 3.0, "including King Street balcony"), which is work within a public right-of-way and will require City approval and BAR review. *Resolution adopted:* Mortgage §§5.5

(compliance/permits), 8.9 (permits for work over the right-of-way), 16.1(e) (indemnity for the encroachment). *Recommendation:* obtain the encroachment permit/license or written confirmation from the City that none is required, and the ALTA 28.1 quote.

B-6 (Medium) — Endorsements not yet ordered. Term Sheet §5.6 requires zoning, access, survey, comprehensive and future advance endorsements. The commitment is silent on availability. Two require attention: (i) the **future advance** endorsement (ALTA 14 series) is essential because $2,250,000 of the secured amount is advanced after recording; without it, priority of the holdback advances depends on the "obligatory advance" analysis I have addressed in Mortgage §§3.2 and 3.3 (stating the maximum aggregate principal of $14,750,000 and characterizing the holdback as obligatory advances); and (ii) the **zoning** endorsement (ALTA 3.1) may be qualified by the LUR and by the balcony encroachment. *Recommendation:* order all endorsements and confirm pricing before April 1.

B-7 (Medium) — Mechanics' lien priority. South Carolina mechanics' liens generally relate back to the visible commencement of work, so a mortgage recorded after work begins can be primed. No work has commenced (Mortgage §4.2(h) so represents, and the draw schedule begins in month 1 after closing), but renovation deposits and equipment orders may be placed at closing (Budget Detail, line 2.0: elevator "order placed at closing"). *Recommendation:* ensure the Mortgage records before any contract work or material delivery; obtain ALTA 32-series mechanics' lien coverage if available; obtain subordination and lien waivers from the General Contractor; and confirm the GC Contract does not permit early lien attachment. The Mortgage conditions each draw on conditional and unconditional lien waivers (§8.2(d)) and on a title date-down (§8.2(e)).

B-8 (Low) — Plat recording. Parcel Two's description depends on the Cartwright plat said to be recorded in Plat Book 64 at Page 91, dated January 15, 2025. Confirm the recording date and that the recorded plat matches the certified survey before Exhibit A is finalized.

B-9 (Low) — Flood panel inconsistency. Appraisal §2.1 cites FEMA Community Panel No. 45019C0418J, effective November 4, 2014; Phase I ESA §2 cites FIRM Panel No. 45019C0520J, effective December 4, 2020. Both conclude Zone X. *Resolution adopted:* Mortgage §10.1(c) requires the $5,000,000 flood coverage the Term Sheet mandates, obliges Mortgagor to produce the current panel designation on request, and addresses the possibility that any portion is later determined to be in a Special Flood Hazard Area (in which case mandatory flood insurance and escrow requirements would apply). *Recommendation:* confirm the current panel and that no portion is in an SFHA before closing; if any portion is, the Bank's flood compliance obligations are engaged regardless of the Term Sheet.

B-10 (Low) — Recording formalities and the 0.37% figure. Your markup states that South Carolina mortgage tax is 0.37% of the indebtedness secured and computes $54,575 on $14,750,000. The arithmetic is correct. I have not been able to confirm from the record that the $1.85-per-$500 rate applies to a mortgage instrument as opposed to a deed, and I have accordingly drafted the Mortgage to require payment of "recording fees, mortgage registration fees, and documentary or intangible taxes" (§§5.14, 18.16) without reciting an amount, and have flagged the figure in the sources-and-uses analysis (A-6) rather than treating it as fixed. *Recommendation:* confirm the rate and computation with Prestige Title before closing. Separately, please confirm the current South Carolina requirements for acknowledgment and subscribing witnesses (I understand the practice to require probate/acknowledgment and a subscribing witness) so the executed Mortgage is recordable; I have drafted a single witness line plus a South Carolina notarial acknowledgment for that reason.

C. Leases, Rents, Assignment of Rents and Tenant Matters

C-1 (High) — The Lowcountry Provisions lease has no assignment, estoppel, SNDA or attornment provision.

Source: Lease Abstracts, Bay 1 row ("Assignment/Subletting: No provision. Lease is silent…"); "Estoppel Certificate Obligation: Lease does not contain a provision requiring tenant to deliver estoppel certificates"; "SNDA: Lease does not contain SNDA provisions"; Rent Roll Summary note ("Specialty grocery; no assignment/subletting provision in lease"); Appraisal §3.2 (same, flagged as unusual); Term Sheet §12.1(j) and (k) (estoppels and SNDAs from all existing tenants as conditions precedent); your markup §3.

Analysis: Three distinct problems, only one of which your markup addresses:

(i) **Enforceability** — your analysis is right that under the South Carolina Uniform Assignment of Rents Act the assignment of rents is enforceable against a tenant upon notification regardless of the lease's terms, so the absence of a consent clause does not defeat enforcement. I note one correction: your markup cites "S.C. Code § 29-3-100 *et seq.*"; the Uniform Assignment of Rents Act as enacted in South Carolina is codified at **S.C. Code Ann. § 29-3-610 *et seq.***, and the Mortgage is drafted to that citation (§7.2). Please verify before the draft goes out — a wrong citation in a recorded instrument is an avoidable irritant.

(ii) **Cooperation** — as you note, a tenant with no consent mechanism has no contractual obligation to cooperate at the point of enforcement. I have addressed this as you directed: representation and warranty that Mortgagor has full right and authority to assign all rents including specifically the Lowcountry Provisions lease (§§4.1(n), 4.2(p), 7.7); estoppel and SNDA covenant (§5.8); and a post-closing covenant to obtain an amendment adding customary estoppel, subordination, attornment and assignment-consent provisions at the first renewal, extension or amendment opportunity (§5.8 and §7.7). I have also added **conditional lien-waiver-style mechanics** to the assignment: tenant direction authority coupled with an interest (§7.3) so Lender can notice tenants directly.

(iii) **Subordination and attornment — the more serious problem.** Because the Lowcountry lease contains no subordination or attornment provision, the lease is **not** subordinate to the Mortgage and the tenant has no obligation to attorn to a foreclosure purchaser or to pay rent to Lender. It may therefore survive foreclosure intact and free of the Mortgage. This is a collateral-value issue, not just a cooperation issue, and the Term Sheet's SNDA condition (§12.1(k)) is stated as a condition precedent precisely for that reason. *Recommendation:* do not waive the Lowcountry estoppel or SNDA (consistent with your markup); if the tenant will not sign at closing, the fallback should be a signed tenant subordination and attornment letter (which requires no non-disturbance concession by Lender) rather than a waiver, and the closing memorandum should record the residual risk.

C-2 (High) — Harmon & Wren's subordination is conditional on Lender delivering a non-disturbance agreement. The Bay 3 lease "is subordinate to any mortgage now or hereafter placed on the Property, **provided that** the mortgagee delivers a commercially reasonable non-disturbance agreement" (Lease Abstracts). If Lender does not deliver one, the lease is not subordinate. *Recommendation:* prepare and deliver SNDAs to all three tenants before closing — for Bay 3 and Suite A this is a Lender obligation or a tenant right, and for Bay 1 it is the risk item in C-1.

C-3 (Medium) — Bay 2 right of first refusal. Harmon & Wren holds a ROFR on Bay 2: 15 business days to match a bona fide third-party offer, and it survives renewal (First Amendment, September 1, 2023). The appraisal adjusts its lease-up timeline by 60–90 days for it, and the rent roll workbook flags that marketing is constrained. Two drafting consequences: the ROFR must be disclosed as a representation (Mortgage §4.1(p) and Schedule 4.1(n) note (2)), and Lender needs a waiver so the ROFR does not burden its remedies. *Resolution adopted:* Mortgage §5.8 requires an acknowledgment from each tenant holding a preferential right confirming that the right does not apply to a transfer of the Property or of Lender's interest, to any lease by Lender or a receiver or foreclosure purchaser, and does not encumber Lender's rights. *Recommendation:* obtain it with the estoppel.

C-4 (Medium) — The rent roll recited in the Term Sheet and the appraisal is stale by one and two escalations respectively.

Source: Lease Abstracts escalation provisions (Bay 1: 3.0% each January 1 from January 1, 2025; Bay 3: 2.5% each July 1 from July 1, 2023; Suite A: 2.5% each April 1 from April 1, 2026). Term Sheet §2.3 and Appraisal §3.1 both state Bay 1 at $28.50/SF and Bay 3 at $24.00/SF.

Recomputation (as of the anticipated April 15, 2025 closing): Bay 1 = $28.50 × 1.03 = **$29.355/SF = $111,549/yr** (the workbook's escalation schedule shows $29.36). Bay 3 = $24.00 × 1.025^2 = **$25.215/SF = $95,817/yr** (workbook shows $25.22). Suite A = **$22.00/SF = $215,600/yr** (no escalation until April 2026). Total current base rent ≈ **$422,966**, against the $415,100 recited — a variance of $7,866 (+1.9%). The "Realistic Scenario" rent of $422,700 in the

workbook is consistent with this recomputation, which confirms that the $415,100 figure is the pre-escalation nominal roll.

Resolution adopted: **Schedule 4.1(n)** shows the contract rates from the lease abstracts and states expressly that amounts actually payable are determined by each lease's escalation provisions, with a conforming representation. *Recommendation:* conform the schedule to the executed leases and the estoppels before execution; do not carry the $415,100 total into any closing document as "current" rent.

C-5 (Medium) — Security deposits. Total $69,183, being two months' base rent for each of the three tenants. On the escalated rents the "two months" amount would be $18,595.50 (Bay 1) and $15,969.50 (Bay 3) against $18,050 and $15,200 held, so the held amounts are modestly below a strict "two months of current rent" reading. This is immaterial in amount but the estoppels should confirm the actual deposit held and the Mortgage requires Mortgagor to hold them in trust and deliver them on default (§§5.7, 7.8).

C-6 (Medium) — Bay 3 at risk. The Harmon & Wren lease expires June 30, 2026 (14.5 months after the anticipated closing); the renewal notice deadline is December 31, 2025 (six months before expiry); and the renewal option is at 95% of fair market value. The workbook treats renewal as "uncertain given short remaining term and renovation disruption." Bay 3 is 3,800 SF (12.3% of area) and $91,200–$98,800 of annual rent, and its loss would also terminate the Bay 2 ROFR (a mild benefit). *Resolution adopted:* the estoppel covenant and the reporting covenants (§§5.8, 12.3) require confirmation of the status; the leasing covenant (§5.6) governs any renewal. *Recommendation:* obtain the estoppel confirming no exercise of the early termination right (the December 31, 2024 deadline has passed) and monitor the renewal decision; it is a realistic lease-up assumption to assume a renewal rather than a re-tenanting, and the Bank's stabilization case depends on it.

C-7 (Low) — Exclusive use. Lowcountry has an exclusive specialty-grocery use within the Property (and its use clause prohibits food preparation). The exclusivity narrows the Bay 2 and Bay 3 marketing pool to non-grocery users; a restaurant use would be compatible with the Lowcountry use restriction. For leasing strategy, not for the Mortgage.

C-8 (Low) — Estoppel dating. Term Sheet §12.1(j) requires tenant estoppels dated no more than 30 days before closing. Conform the estoppel collection timeline to that; if closing slips, re-date.

D. Single-Purpose Entity, Organizational Documents and Bankruptcy Remoteness

D-1 (Critical) — The operating agreement does not contain the SPE and bankruptcy-remoteness provisions the structure requires.

Source: Operating Agreement Summary §§3.1 (exclusive and sole authority in GDG; "does not impose any requirement for GDG to appoint or maintain an independent director, independent manager, or springing member"; "no provision … requiring the consent of any independent party prior to the Company filing a voluntary petition"; no bankruptcy remoteness or single-purpose provisions), 1.4 (purpose clause ending in a broad catch-all; "does not contain any language restricting the Company to single-purpose entity status"), 3.2 (75% Major Decisions, which omit bankruptcy filings), 8.1 (dissolution on 75% consent with no lender or independent-party consent), 9.1 (amendments), 6.2 (reviewed, not audited, annual statements). Term Sheet §10.1(a)–(g), including §10.1(g) requiring the organizational documents to be amended "prior to closing" to include these restrictions.

Analysis: The Term Sheet's SPE covenant package is largely a list of operating behaviours (separate books, no commingling, no additional debt) that the Mortgage can impose as covenants and does (Mortgage §6.2). The two elements that **cannot** be achieved by covenant alone are the ones missing from the operating agreement: an **Independent Manager whose affirmative vote is required before a voluntary bankruptcy filing, dissolution, merger or consolidation**, and express **bankruptcy-remoteness** protection. Without them, GDG — through Neil Ashford Graydon — can unilaterally file the Borrower into bankruptcy, which defeats the purpose of the SPE structure.

Resolution adopted: (i) representation that the organizational documents contain the required provisions (§4.1(g)); (ii) full separateness and single-purpose covenants (§6.2(a)–(l)); (iii) a substantive bankruptcy-remoteness covenant identifying the Independent Manager qualification, the unanimous-vote requirement, the removal/replacement and notice mechanics, and the requirement that the provisions bind all members and cannot be amended without Lender's consent (§6.3); (iv) no-dissolution/no-bankruptcy-filing covenant (§6.7); (v) no-amendment covenant (§6.5); and (vi) an Event of Default for any SPE or bankruptcy-remoteness breach with **no cure period** (§§14.1(j), 14.2(c)), consistent with Term Sheet §11.2(c).

Recommendation (action items, as you directed):

(a) Prepare a form of **Operating Agreement Amendment** adding (i) the Independent Manager requirement with the standard natural-person eligibility criteria, (ii) the separateness covenants, (iii) the single-purpose restriction narrowing the Operating Agreement §1.4 purpose clause, and (iv) a unanimity/unanimous-written-consent

requirement (including the Independent Manager) for bankruptcy filings, dissolution, merger, consolidation, division and conversion.

(b) Make delivery of the executed amendment, signed by **all three members** (GDG, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC), a **condition precedent to closing**, and add it to the CP schedule (it is not expressly listed in Term Sheet §12.1, though §10.1(g) requires the amendment and §12.1(n) is a catch-all).

(c) Confirm **Tidewater GP Holdings LLC's** authority to bind the fund. The operating agreement summary identifies Tidewater GP Holdings LLC as general partner with "exclusive authority to manage and direct the affairs of Tidewater, including its investments and its Membership Interest in the Company," which is helpful, but the limited partnership agreement is not in the record. Obtain the LP agreement, or a GP authorization certificate/resolution, before closing.

(d) Note the mechanics: OA §9.1 permits amendment on the signature of the Managing Member plus members holding 75%, so GDG (72%) plus Harborline (10%) would suffice procedurally. I still recommend all three signatures, because the covenants must bind each member and because OA §9.1's proviso requires the consent of any member whose economic rights are altered. Confirm that the amendment does not inadvertently trigger the proviso.

D-2 (High) — There is no change-of-control restriction anywhere in the record.

Source: Term Sheet §10.3 (restricts transfers of "ownership interests in the Borrower" exceeding 10% individually / 25% in the aggregate, except transfers among existing members). Operating Agreement Summary §4.1 ("The transfer restrictions … apply exclusively to Transfers of Membership Interests in the Company and do not purport to restrict or address changes in the internal or upstream ownership, management, or control of any Member entity"); §4.2(c) (Tidewater GP may direct transfers, including to "any successor fund," with no consent required and "successor fund" undefined); §4.5 (affiliate definition); and the summary's own illustrations (Graydon could sell his GDG membership; Tidewater GP Holdings could be acquired; Harborline's internal ownership could change entirely).

Analysis: The Term Sheet's restriction is entity-level only, and the operating agreement confirms that upstream changes are unrestricted. The result is that the 72% controlling interest could pass to a third party — the single most important credit fact in the deal — without consent, notice or default. The OA's 75% Major-Decision threshold does not help, because it governs actions *by the Company*, not transfers of interests *in the members*.

Resolution adopted: Mortgage §6.4(direct Property transfers; >10% membership transfers; and a defined **Change of Control** capturing indirect changes at GDG, Tidewater GP Holdings/successor GP and Harborline level, plus conversion/division/reorganization), with a narrow carve-out for transfers among existing members and Graydon estate-planning trusts (each on 30 days' notice, no Change of Control, and joinder), void **ab initio** at Lender's election, and a no-cure Event of Default (§14.1(g), §14.2(c)). I have added the express statement that §6.4 controls over any less restrictive provision of the operating

agreement. *Recommendation:* add a mirroring change-of-control restriction and notice covenant to the Operating Agreement Amendment (D-1), so that the OA and the Mortgage do not permit different things; and confirm with Marcus that an indirect change-of-control restriction is acceptable given that the Term Sheet is entity-level only. This is an addition beyond the Term Sheet, justified under §14.4 and consistent with the carve-out guaranty, which is triggered by a §10.3 violation (Term Sheet §5.5(a)(v)).

D-3 (Medium) — Registered agent name mismatch. Term Sheet §1.2: "Capitol Registered Agents Inc., 1201 Main Street, Suite 410, Columbia." Operating Agreement Summary §1.3: "Statehouse Registered Agents, Inc., 1201 Main Street, Suite 410, Columbia." Same address, different names. Not material to the lien, but the Mortgage recites the registered agent (§5.12) and Exhibit E lists the address, so it must be right. *Recommendation:* confirm against current South Carolina Secretary of State records and conform §5.12 and Exhibit E. I have inserted a conforming note in Exhibit E rather than guessing.

D-4 (Medium) — Audited financial statements versus the operating agreement's "reviewed" standard. Term Sheet §7.3(a) requires annual financial statements audited by an independent CPA within 120 days. OA §6.2(b) requires annual statements "reviewed (but not audited)" within 90 days, plus unaudited quarterlies within 45 days. The covenant is therefore unperformable without either an audit engagement or an amendment. *Resolution adopted:* Mortgage §12.3(a) requires audited statements and §12.4 states that reviewed or unaudited statements do not satisfy the obligation. *Recommendation:* raise with Marcus whether the Bank will accept reviewed statements for a single-asset SPE (a common concession where the guarantor is the credit); if not, the Borrower needs to budget for the audit.

D-5 (Medium) — The operating agreement summary is redacted and the March 1, 2025 amendment is not summarized. The summary itself advises that compliance with SPE requirements "cannot be confirmed on the basis of this Redacted Summary alone." The amendment dated March 1, 2025 was executed by all three members but "the specific terms and modifications effected by such amendment have not been summarized." *Recommendation:* obtain the full unredacted operating agreement, all exhibits and schedules, and the March 1, 2025 amendment, and re-run the SPE review against the executed documents before the amendment in D-1 is circulated.

D-6 (Medium) — Member entity diligence. Tidewater is a Delaware LP with a Virginia address (301 Fayette Street, Suite 700, Norfolk); Harborline is a Delaware LLC with a Pennsylvania address (1900 Market Street, Suite 1220, Philadelphia) whose members and managers are **not disclosed**. *Recommendation:* obtain certificates of good standing (Delaware, and each state of qualification), organizational documents, and signing authority resolutions for

both; for Harborline, also confirm its beneficial ownership for the Bank's customer due diligence and beneficial ownership certification requirements.

D-7 (Low) — Separateness optics. GDG's notice address in the operating agreement is 88 Broad Street, Suite 200 — the same address as the Borrower's principal office. That is common for single-asset SPEs but is a factor in a separateness analysis. Recommend the amendment require either a distinct address or a documented arm's-length cost-sharing arrangement, and that the SPE covenants (§6.2(a)–(l)) capture it.

E. Prepayment, Lockout and Yield Maintenance

E-1 (High) — Your proposed formula deletes the Term Sheet's 1.00% minimum premium.

Source: Term Sheet §4.2 (premium "equal to the greater of (a) one percent (1.00%) of the outstanding principal balance … or (b) the present value of the excess …"); your §5 drafting instruction (formula with "In no event shall the Yield Maintenance Premium be less than zero" and no 1% floor).

Analysis: The two are not the same instrument. A pure yield-maintenance formula with a zero floor produces **no** premium whenever Treasury yields have risen above the note rate, which is precisely when a borrower most wants to prepay and when the lender's reinvestment loss is most acute from the borrower's perspective (the lender gains nothing, but loses a high-coupon asset). The 1% floor is the Term Sheet's protection against that outcome. Deleting it unilaterally would be a departure from a binding commitment and, in my view, not something an associate should make without instruction — particularly where Term Sheet §14.3 provides that the Loan Documents control in the event of conflict, which means a Borrower's counsel could argue that the deletion is evidence of the parties' agreed construction.

Resolution adopted: I drafted the premium as the **greater of** 1.00% of the principal prepaid and the yield-maintenance amount, with the yield-maintenance leg floored at zero (Mortgage §13.3), and applied the same greater-of test to any prepayment accepted during the Lockout Period (§13.1). Please confirm, or direct that the floor be deleted and that the Term Sheet be amended in writing to match.

E-2 (High) — The 50 basis point placement is genuinely ambiguous, and the drafted formula does not replicate the Term Sheet's mechanics.

Source: Term Sheet §4.2(b): the present value of the excess of (i) interest that would have accrued at the **Note rate**, over (ii) interest that would accrue "at the **treasury rate plus fifty (50) basis points**," discounted "at the treasury rate."

Your instruction: add the 50 bps to the **loan rate** (i.e., the payment stream), with the spread reflecting the lender's bargained-for return.

Analysis: These are two different formulas, not two readings of one formula. The Term Sheet computes an **interest differential** (Note rate versus Treasury + 50 bp, discounted at Treasury). Your instruction produces the market-standard **present value of remaining payments less principal** (payments at the Note rate, discounted at Treasury). On the Term Sheet's literal text the comparison uses Treasury + 50 bp as the comparison yield; on your instruction the 50 bp never enters the discount computation at all, because the Note rate already embeds the 285 bp spread. Both are defensible; they produce different numbers; and the Term Sheet's own internal logic (why compare to Treasury + 50 if the note rate is Treasury + 285?) favours your reading as the commercial intention, while the text favours the literal reading.

Resolution adopted: I drafted your formula — PV of all remaining scheduled payments of principal and interest at the Note rate (without the Default Rate) through the last day of the Yield Maintenance Period, discounted monthly at the Treasury Rate, less the outstanding principal prepaid, floored at zero, with the final payment adjusted for unamortized principal, and with the Treasury Rate defined by reference to FRB Statistical Release H.15, maturity matched to the last day of the Yield Maintenance Period, with linear interpolation and a fallback to the most recent prior publication (Mortgage §§1.1, 13.3). The formula is self-contained, deterministic and objectively calculable, which is the enforceability point you asked me to protect. *Recommendation:* **client decision required.** Obtain Marcus's written confirmation of the intended formula and, because the drafted formula does not track Term Sheet §4.2(b), either (i) a written confirmation/amendment of the Term Sheet by the Bank, or (ii) conform the drafting to the Term Sheet's literal mechanics. I would not put the form out without one of the two.

E-3 (Medium) — Lockout versus priced prepayment. Term Sheet §4.1 prohibits prepayment during months 1–24 (in whole or in part) but then says any prepayment in violation "shall be subject to a prepayment premium as described in Section 4.2." A prohibition with a price is not a prohibition; it is an option, and the inconsistency also invites a penalty challenge (if the Bank must accept the money, the premium is not liquidated damages for a breach). *Resolution adopted:* I drafted the Lockout as an **absolute prohibition** with no prepayment right, coupled with a Lender election (in its sole and absolute discretion) to accept a tender at the greater of 1% and the yield-maintenance amount computed as though the prepayment occurred in the Yield Maintenance Period (§13.1). That preserves the Bank's position without creating a borrower right. Please confirm.

E-4 (Medium) — Involuntary prepayments. The Term Sheet is silent on whether casualty proceeds and condemnation awards applied to the Loan during the lockout or yield-maintenance period bear a premium. I drafted them as applied **at par** with no premium (§§10.4, 10.5, 13.6), which is the majority market position and is required for insurability (the title insurer and casualty carrier both assume restoration or par application), but you flagged that some lenders charge. *Recommendation:* confirm with Marcus; if the Bank wants a premium on involuntary prepayments, it must also accept that the insurer's restoration analysis becomes more complex and that the Borrower will resist.

E-5 (Medium) — Treasury Rate tenor. Your instruction matches the reference maturity to the **last day of the Yield Maintenance Period** (approximately month 48, i.e., a 2-year reference at the start of the period). Market practice for this structure is often to match the remaining term to **maturity** (a 5-year reference at origination, declining), which produces a higher (longer-tenor) reference rate and hence a lower premium in a normal curve. The choice is a commercial one with a real dollar effect. *Resolution adopted:* matched to the last day of the Yield Maintenance Period, per your instruction, defined with interpolation. *Recommendation:* confirm; this is the kind of variable that, left undefined, produces the indefiniteness challenge you are trying to avoid.

E-6 (Low) — Whole-versus-partial prepayment asymmetry. Prepayment is whole-only in months 25–48 and whole-or-partial in months 49–60. Read literally, that would bar a partial application of casualty proceeds during the yield-maintenance period, which is why I carved involuntary payments out of Article 13 altogether (§13.6). No further action, but note the interaction if the Bank insists on a premium on involuntary prepayments (E-4).

E-7 (Low) — Enforceability of the premium. South Carolina courts will enforce a yield-maintenance premium as liquidated damages where the formula is specific, mathematically deterministic and objectively calculable, and will not where it requires subjective judgment. The record contains no South Carolina authority beyond general contract principles, and I have not researched beyond that. The drafted clause is built for enforceability: a single defined reference rate and publication, a stated maturity-matching convention, interpolation, monthly discounting, an adjustment for unamortized principal, a floor, a conclusive-calculation provision, and an express liquidated-damages characterization (§13.7), plus a severability clause preserving the parties' intent if a component fails (§18.4). I have not included any "present value of a hypothetical reinvestment" or discretionary elements.

F. Renovation Administration and the Draw Schedule

F-1 (High) — The 10% retainage required by the Term Sheet is absent from the draw schedule.

Source: Term Sheet §8.4 ("Lender shall retain ten percent (10%) retainage from each disbursement … until substantial completion"); Renovation Budget and Draw Schedule, Draw Schedule tab (no retainage column; each monthly "Total Lender Draw This Month" is the gross budgeted amount for the line items).

Recomputation: 10% of $2,250,000 is approximately **$225,000** that would be withheld from the contractor over the draw period and released only after Substantial Completion. Two consequences: (i) cash actually available to the General Contractor is overstated by up to $225,000 at any point, which is exactly the kind of gap that produces mechanics' liens in the final months; and (ii) the schedule's own notes show the squeeze — at month 11, "Only $130,000 of lender holdback remains with $180,000 of budgeted costs remaining," and the schedule ends with borrower equity at −$5,000.

Resolution adopted: Mortgage §8.3 imposes 10% retainage on each advance and conditions release on Architect's certificate, certificate of occupancy, final unconditional lien waivers, final title date-down, and completion of punch-list/warranty items. *Recommendation:* have the Borrower recast the draw schedule with retainage and confirm the GC Contract permits retainage at that level and that the contractor can carry it; if it cannot, the Bank should know before closing, because a contractor that cannot carry retainage asks for joint-cheque or payment-bond arrangements later.

F-2 (High) — The draw schedule does not reconcile to the budget detail.

Recomputation (per-category, sums of the fourteen monthly draws versus Budget Detail allocations): HVAC lender draws **$900,000** vs. $850,000 allocated (+$50,000); Elevator lender **$325,000** vs. $375,000 (−$50,000); Façade lender $425,000 (✓); TI lender $450,000 (✓); Soft costs lender $150,000 (✓); lender total $2,250,000 (✓). Borrower side: HVAC $350,000 (✓), Elevator $100,000 (✓), Façade $200,000 (✓), TI **$110,000** vs. $100,000 (+$10,000), Soft costs **$145,000** vs. $150,000 (−$5,000), borrower total **$905,000** vs. $900,000. Grand total **$3,155,000** vs. $3,150,000 — a **$5,000 overrun** against the Renovation Budget, which the schedule itself shows as borrower equity of −$5,000 remaining.

Analysis: The lender-side variances net to zero across categories, so the total holdback is right, but the schedule funds $50,000 more HVAC and $50,000 less elevator than the approved budget allocation, and the borrower side both reallocates and overspends. Mortgage §8.4 requires Lender consent for line-item reallocations exceeding 10% of the line item (here 5.9% for HVAC and 13.3% for

elevator — the elevator reallocation exceeds the threshold) and for contingency usage. *Recommendation:* require the Borrower to present a reconciled draw schedule as a closing deliverable and to document the $5,000 overrun funding; confirm the Bank's consent to the HVAC/elevator reallocation in writing, since a failure to do so would put the Borrower in default under §8.4 at the first draw.

F-3 (High) — The draw schedule and the lease-up schedule assume different Suite B leases.

Source: Draw Schedule notes: month 9 (January 2026) — "TI — 2nd Floor Suite B lease executed, build-out commences"; months 10–13 draw Suite B TI; month 13 (May 2026) — "TI completion for 2nd Floor Suite B." Vacancy Schedule: Suite B marketing start July 2026, lease execution November 2026, rent commencement February 1, 2027. The same workbook cannot be right both ways.

Analysis: This is not a clerical point. Under the drafted disbursement conditions, a TI draw requires a qualifying lease; if Suite B TI is drawn in 2026 without a lease, the Borrower will be in breach of §8.2/§8.4, and if Suite B is leased in November 2026 the TI draw falls after the 14-month renovation window and after Substantial Completion (June 15, 2026), which changes both the retainage release mechanics and the timeline against the DSCR test. *Recommendation:* rebuild the draw schedule around the lease-up assumptions that the Bank actually credits; and confirm whether the TI allowance for Suite B is intended to be drawn from the Renovation Holdback (line 4.0, $450,000) or from the $150,000 TI/LC Reserve, because the record uses both for the same purpose (see G-1).

F-4 (Medium) — The Holdback covers only 78.9% of hard costs; no pari passu or equity-first requirement is in the Term Sheet. $2,850,000 of GC contract against $2,250,000 of holdback leaves $750,000 of hard costs, plus $150,000 of soft/contingency, to Borrower equity ($900,000 total). The Term Sheet says only that the Borrower funds costs "in excess of the Renovation Holdback." Nothing prevents the Borrower from front-loading its equity and exhausting it before the Bank's holdback is drawn — the draw schedule actually does the reverse — or from being unable to fund its share at the point of maximum spend. *Resolution adopted:* Mortgage §8.2(g) conditions each advance on Borrower equity being funded pari passu at the 2.5:1 ratio in Exhibit C, with a certified reconciliation delivered with each draw; §8.5 requires the Borrower to pre-fund any identified shortfall within 10 Business Days as an Event of Default trigger. This is an addition beyond the Term Sheet, supported by §14.4 and by Term Sheet §8.4's express statement that the Borrower is responsible for excess costs. *Recommendation:* confirm with Marcus; and note the interaction with A-6 (the same equity has to cover ~$352,000 of closing costs).

F-5 (Medium) — Member capital commitments. The commitments ($4,464,000 / $1,116,000 / $620,000) reconcile to $6,200,000, but the operating agreement lets GDG make capital calls unilaterally (within the purpose clause and the annual budget process) with dilution for non-funding members. There is no Lender consent right over capital calls and no covenant that the passive members will fund. If Tidewater or Harborline defaults on a call during construction, GDG may dilute rather than fund, or the Project may be short. *Resolution adopted:* CP evidence of the equity contribution (§12.1(m) of the Term Sheet); the Mortgage's overrun covenant (§8.5). *Recommendation:* obtain executed equity commitment letters or member consents confirming committed (not merely "committed to fund") capital, and evidence of the initial funding at closing.

F-6 (Medium) — The Substantial Completion default has no cure period, and the drafted extension is short. Term Sheet §11.1(h) makes failure to achieve Substantial Completion by June 15, 2026 an Event of Default, and §11.2 lists no cure. I have added a narrow **Unavoidable Delay** extension capped at 30 days (§§14.1(h), 14.3) with notice, mitigation, and a causation carve-out. *Recommendation:* confirm 30 days is enough given that the façade scope requires City of Charleston Board of Architectural Review approval (Budget Detail line 3.0: "per City of Charleston BAR approval," month 12 final BAR inspection) — BAR and permit delays are the classic source of construction overruns and, under my drafted causation test, a failure of a governmental authority to issue an approval not caused by the Borrower would qualify, but only up to 30 days.

F-7 (Medium) — The GC Contract is not in the record. Only its contract sum ($2,850,000) and the contractor's identity and license number are recited. Term Sheet §8.1 and CP §12.1(l) require the executed contract and all amendments before closing. *Recommendation:* obtain and review for: completion date consistent with June 15, 2026; liquidated damages; retainage; payment and performance terms; change-order procedure and approval thresholds; insurance and indemnity; assignment and Lender's rights (including the right to take over on default); bonding; and whether Beaufort Builders Group LLC or any subcontractor is an Affiliate of GDG or Mr. Graydon — the record does not say, and an affiliate GC changes the arm's-length analysis in Mortgage §5.17 and the OA's affiliate-transaction provisions (§3.2(ix)).

F-8 (Low) — Contingency is thin. $100,000 of contingency against a $3,150,000 budget is 3.2%, on a 1952 building with façade restoration, HVAC replacement, elevator modernization and BAR oversight. Market contingency for this scope is typically 5–10%. Combined with F-1 and F-2 (retainage and the funding squeeze), the probability of a mid-project shortfall is high.

F-9 (Low) — No bonding. The Term Sheet requires no performance or payment bond on a $2,850,000 GC contract. South Carolina does not require bonds on private work. *Recommendation:* consider requiring a payment bond or additional equity; the completion guaranty covers completion, not subcontractor claims.

G. Reserves, Escrows and Cash Management

G-1 (Medium) — The TI/LC Reserve is materially undersized against projected leasing costs, and leasing commissions have no budget line.

Recomputation from the Vacancy Schedule: TI — Bay 2 $95,000; Suite B $215,600; Bay 3 $76,000 if re-tenanted = **$310,600 to $386,600**. Leasing commissions — Bay 2 $28,500; Suite B $61,250; Bay 3 $28,500 if re-tenanted = **$89,750 to $118,250**. Total leasing cost **$400,350 to $504,850**, against a $150,000 TI/LC Reserve. The Renovation Budget's TI Allowances line is $550,000 (of which $450,000 from the Renovation Holdback), so TI is broadly funded within the budget if it is drawn as budget — but leasing commissions appear **nowhere** in the Renovation Budget, and the Reserve is expected to cover them as well as any TI shortfall.

Resolution adopted: Mortgage §9.3 requires the $150,000 deposit at closing, a 30-day replenishment obligation, and Lender approval of disbursements; §9.3 also contains an express acknowledgment that the Reserve "may be insufficient to fund the tenant improvements and leasing commissions required to lease the currently vacant space" and that Mortgagor is responsible for any deficiency. *Recommendation:* size the Reserve against the Bank's stabilization case, or add a leasing-commission line to the Renovation Budget, and confirm which source funds Suite B TI (F-3).

G-2 (Medium) — No cash management and no control agreement, but the Mortgage takes a security interest in deposit accounts. The Term Sheet has no cash-management, lockbox or DACA requirement; yet the Mortgage's collateral includes "deposits, accounts, reserves" (Term Sheet §5.1(d)), and the drafted Mortgage grants a security interest in deposit accounts (§§2.2(c)–(d), 9.5). Under the South Carolina UCC, a security interest in a deposit account as original collateral can be perfected only by **control** (UCC §§ 9-104, 9-312(b)(1)); a filing perfects nothing. Accounts in Borrower's name at another institution would therefore be unperfected collateral. *Resolution adopted:* §9.7 requires DACAs and a cash-management system on Lender request and automatically on default or DSCR failure; reserves held by Lender need no agreement. *Recommendation:* obtain DACAs at closing for any account not held at the Bank (the operating account in particular), or document the decision to rely on the rent assignment rather than on Article 9 perfection of deposit accounts.

G-3 (Low) — Escrow versus NNN recoveries. Two of three tenants are NNN and the third is modified gross with a 2021 base year, so taxes and insurance are largely tenant-reimbursed while the Bank escrows 1/12 of them. This is lender-protective and standard, but the servicing file should ensure the same expenses are not counted both as landlord expense and as reimbursed income in the DSCR calculation. Mortgage §1.1(b)(ix) excludes reimbursed expenses from Operating Expenses, which addresses the double count on the expense side.

G-4 (Low) — Verified: capital replacement reserve of $645.83/month = $0.25 × 31,000 ÷ 12 = $7,750 ÷ 12 ✓. Fee simple title; no ground rent.

H. Insurance

H-1 (Medium) — Builder's risk limit may leave the existing structure underinsured. Term Sheet §9.4 requires builder's risk "in an amount not less than the full renovation budget of $3,150,000," covering "the Property and the renovation work." The Property's as-is improvements are valued at $18,200,000. A $3,150,000 builder's risk policy covers the work, not the building. It is adequate only if the all-risk property policy required by §9.1 remains in force throughout construction and contains no construction/renovation exclusion — which is frequently not the case in standard forms. *Resolution adopted:* Mortgage §10.1(d) requires the builder's risk and property coverages together to cover "the entire Property (including the existing Improvements and all work in place) throughout the renovation period without any gap in coverage or any exclusion for construction, renovation, or remodeling activities." *Recommendation:* obtain a broker's letter confirming completed-value coverage and no construction exclusion, and consider requiring builder's risk on a completed-value basis.

H-2 (Low) — Flood coverage in Zone X is a credit requirement, not a regulatory one. Term Sheet §9.3 requires $5,000,000 of flood insurance notwithstanding Zone X. That is permissible, but the compliance file should record that it is a credit decision and that no federally mandated flood insurance or escrow requirement is engaged (subject to B-9 if the panel designation is wrong). Mortgage §10.1(c) is drafted to preserve both positions.

H-3 (Low) — Cancellation notice. The Term Sheet requires 30 days' notice of cancellation, non-renewal or material modification. Market mortgagee clauses require 10 days for non-payment. Mortgage §10.2 requires 30 days generally **and** 10 days for non-payment, so the Bank gets the better of both.

H-4 (Low) — Tenant limits. Bay 1 and Bay 3 tenants carry $1M/$2M CGL against the landlord's required $2M/$5M. Acceptable because the landlord's policy is primary for common areas; confirm that the property manager and any contractor are additional insureds.

I. Environmental Matters and the Land Use Restriction

I-1 (High) — The Phase I condition precedent cannot be satisfied on its face, but the Bank has already waived Phase II.

Source: Term Sheet §12.1(c) requires a Phase I "indicating no recognized environmental conditions requiring remediation or further investigation." Phase I ESA §4 identifies **no RECs** but **one CREC** on Lot 7; §6 records that "Calverley Heritage Bank has waived the Phase II Environmental Site Assessment requirement for this transaction based on the CREC status, the issuance of the SCDHEC NFA letter, and the existence of the recorded institutional controls," documented in correspondence dated January 22, 2025 between Marcus Prideaux and Clearfield.

Analysis: Read literally, "no recognized environmental conditions requiring remediation or further investigation" is satisfied (there are no RECs, and no further investigation is recommended), so the CP is arguably met. But a closing file that contains a Phase I identifying a CREC and no Phase II needs a clear, written record of why that was acceptable. *Recommendation:* place a CP satisfaction/waiver memorandum in the closing file expressly recording the January 22, 2025 waiver, the NFA letter, the institutional controls, and the mitigants in I-2 and I-3. This is a file-integrity point, not a drafting point, but it is the kind of item that surfaces in an examination two years later.

I-2 (High) — The Land Use Restriction covenants and the LUR default are now in the Mortgage, but the Environmental Indemnity must mirror them.

Source: Title Commitment Notes to Closer ¶1 (Lender's counsel should ensure the Environmental Indemnity and the Mortgage contain specific covenants addressing the LUR, "including the vapor barrier maintenance and periodic inspection obligation and the prohibition on residential use of the ground floor," and "[t]he Mortgage should contain an event of default triggered by any failure to comply with or any modification, termination, or violation of said land use restriction"); Schedule B-I Requirement 6 (same requirements for the Environmental Indemnity); Phase I ESA §§5.3, 5.4, 6(d); Appraisal §5.

Resolution adopted: **Mortgage Article 11** implements the closer's instructions: prohibition on residential use of the Bay 1 ground floor (§11.1(a)); vapor barrier maintenance and no penetration without SCDHEC approval and Lender consent (§11.1(b)); **annual** inspection by a licensed environmental professional (plus before and after any slab work) with reports delivered to Lender (§11.1(c)); advance notice to SCDHEC and delivery of approvals (§11.1(d)); annual compliance certificate with the financial statements (§11.1(e)); no modification or termination of the LUR (§11.2); notice of environmental events within 3 Business Days (§11.3); remedial action obligations with Lender approval

thresholds (§11.4); an environmental indemnity that survives foreclosure and is not limited by the non-recourse provisions (§11.5, 16.2); secured-creditor protection (§11.6); and an **Event of Default with no cure period** for any failure to comply with Article 11 or the LUR, or any modification, termination, release or violation of the LUR, or any SCDHEC reopening (§§14.1(k), 14.2(c)). The LUR also appears in Exhibit B as a Permitted Exception expressly conditioned on Article 11 compliance.

Recommendation: confirm the separate Environmental Indemnity (Borrower and Guarantor) contains the same specific LUR covenants — it is a separate instrument prepared by us and it is the primary risk-allocation document. Note also that the Mortgage's environmental indemnity is deliberately carved out of the non-recourse limitation (Article 17), consistent with the Term Sheet's carve-out structure (§5.5(a)(iv)).

I-3 (High) — Vapor barrier integrity is unverified and is not a Term Sheet condition.

Source: Phase I ESA §5.3 (the vapor barrier "was not directly visible or inspectable during the reconnaissance"; Clearfield "recommends that any prospective purchaser confirm the integrity of the vapor barrier through a qualified inspection conducted by a licensed environmental professional prior to or promptly after acquisition, and particularly before any renovation activity affecting the Bay 1 floor slab"); §6(b) (same recommendation). Nothing in the Term Sheet requires it.

Analysis: The vapor barrier is the institutional control on which the NFA determination depends. If it is compromised, SCDHEC could reopen the file, and the collateral (Lot 7, one of three parcels and the location of Bay 1) is directly affected.

Resolution adopted: annual inspection covenant plus pre- and post-slab-work inspections (§11.1(c)); draw condition requiring a licensed environmental professional's certificate for any advance funding work within or affecting the Bay 1 footprint (§8.2(k)); notice obligations (§11.3). *Recommendation:* add a **condition precedent** requiring the inspection (or a post-closing covenant to complete it within 30 days with delivery of the report), and require the General Contractor to acknowledge the vapor barrier and LUR in writing before mobilization. This is an addition beyond the Term Sheet; it is squarely supported by the ESA's recommendations and the closer's note.

I-4 (Medium) — The renovation scope may intersect the Bay 1 slab. Budget Detail line 1.0 covers "Full replacement of rooftop HVAC units (3), ductwork, and controls for all retail bays and office suites." Ductwork serving a slab-on-grade retail bay may require slab penetration. If it does, the LUR requires prior SCDHEC notification/approval and the cost of vapor barrier

repair or replacement is not separately budgeted. *Resolution adopted:* §§8.2(k), 8.4(b) (no change in scope affecting the vapor barrier without consent), 8.9 (contractor notification and SCDHEC notice), 11.1(d). *Recommendation:* obtain written confirmation from the Architect or the General Contractor that no duct, conduit or penetration will pass through the Bay 1 floor slab; if any will, add a vapor barrier repair allowance to the budget and to the contingency analysis (F-8).

I-5 (Medium) — Preserving the Borrower's bona fide prospective purchaser position. The contamination originated off-site at 518 King Street (a third party). The Phase I is ASTM E1527-21 compliant, satisfies all appropriate inquiries, and names the Borrower as an additional reliance party — the conditions for the BFPP and contiguous property owner defenses. Those defenses require continuing obligations (no disposal or release at the Property, appropriate care, reasonable steps regarding institutional controls, cooperation with response actions, and compliance with land use restrictions). *Resolution adopted:* §§5.15, 5.16 (compliance and cooperation), Article 11 (institutional controls). *Recommendation:* confirm the Borrower's BFPP file is maintained, and that the Borrower understands that its own renovation activities are the principal risk to the defense.

I-6 (Low) — No subsurface investigation in the record. The waiver of Phase II is documented; the credit approval should record the rationale (A-7).

J. Guaranty and Recourse Structure

J-1 (High) — The interest-shortfall guaranty expires ten months before the first DSCR test.

Source: Term Sheet §5.5(c) (guaranty of interest shortfall "covering the first fourteen (14) months following closing"); §7.1 (DSCR testing commences at month 24).

Recomputation: closing April 15, 2025 + 14 months = **June 15, 2026** — which is also the Substantial Completion Deadline. Projected annual interest at the floor rate is $862,875; projected NOI at the first test in the "realistic" case is $314,782, a gap of **$548,093 per year**. Over the ten months between the expiry of the guaranty and the first test (June 15, 2026 to April 15, 2027) that is approximately **$456,744** of projected debt service with no guaranty support and, on the record's own projections, insufficient property income. The best-case stabilized NOI of $622,772 still leaves a gap of $240,103 per year against interest alone.

Recommendation (client decision): extend the interest-shortfall guaranty (or add a funded debt service reserve) through the first DSCR Testing Date, i.e., to June 30, 2027 or later, or until a defined occupancy milestone. This is the natural

companion to the DSCR restructuring in A-3, and it is a Term Sheet amendment, so it needs Marcus.

J-2 (Medium) — One guaranty or three? Term Sheet §5.5 describes "a full recourse personal guaranty … structured as" a non-recourse carve-out guaranty, a completion guaranty and an interest-shortfall payment guaranty; the Guarantor Acknowledgment refers to "the Guaranty Agreement, Completion Guaranty, Payment Guaranty, Environmental Indemnity Agreement"; but §14.3 and §12.1(a) list only a "Guaranty Agreement." *Recommendation:* confirm whether there is one instrument with three components or three instruments; the CP list, the title commitment (Requirement 7) and the Mortgage's cross-references (§17.3) need to match.

J-3 (Medium) — Non-recourse consistency. Term Sheet §5.5(a) makes the Loan non-recourse to the Borrower except for carve-outs that spring full recourse liability **of the Guarantor**. The Mortgage must not, by its own terms, impose unlimited personal liability on the Mortgagor. *Resolution adopted:* Article 17 contains a limited-recourse clause (recourse against the Mortgaged Property and collateral only, no deficiency judgment against the Mortgagor) subject to an enumerated list of **Recourse Events** drawn from Term Sheet §5.5(a) ((i)–(v)) plus insurance failure, waste, failure to turn over rents, and certain covenant breaches, each with a causation/materiality limitation where appropriate; and it preserves Guarantor's separate liability (including the completion guaranty, with §8.7 drafted so that Lender's completion of the work does not relieve Guarantor). *Recommendation:* confirm that the Note and Guaranty use the same Recourse Event list, and confirm the carve-out for a transfer violation (Term Sheet §5.5(a)(v)) is mirrored in the Guaranty.

J-4 (Low) — Guarantor verification. Net worth of "$28,000,000" is described as "approximate" and is self-reported; there is no liquidity figure for the Guarantor anywhere in the record. Given that the completion and interest-shortfall guaranties are the Bank's principal mitigants, obtain the personal financial statement, tax returns, and a liquidity schedule, and confirm the Bank's credit file reflects verified rather than represented net worth.

K. Interest Rate Mechanics, Default Rate and Charges

K-1 (Medium) — Daily SOFR mechanics are undefined. Term Sheet §3.6 defines Daily SOFR by reference to the FRBNY publication "on the applicable business day," but specifies no compounding convention, no averaging method, no lookback, no rounding, no day-count basis (actual/360 versus actual/365), no interest determination agent, and no benchmark-replacement mechanism beyond "(or a successor administrator)." For a backward-looking overnight rate paid monthly, these are operative terms, not boilerplate. *Resolution adopted:* the Mortgage defers payment mechanics to the Note (§18.6) and does not purport to define them. *Recommendation:* address in the Note before the draft is circulated

— this is a documentation gap that will be visible to any reviewer, and it is more easily fixed now than by amendment.

K-2 (Medium) — Default rate and late charges. The Default Rate (floor 3.00% + 2.85% + 5.00% = 10.85%) and the 5% late charge are both specified in the Term Sheet and are drafted as such (§§14.5, 1.1). *Recommendation:* confirm the aggregate against South Carolina's usury limits and that the characterization language (§14.5 and the Article 13.7 liquidated-damages recital) is adequate. I have included a standard usury savings clause (§18.8).

K-3 (Low) — Payment mechanics. Checks are consistent: monthly on the 15th commencing May 15, 2025; late charge if not received within 10 calendar days of the due date; five business days for payment default cure (Mortgage §§14.1(a), 14.2(a)) with a two-per-year limit I added to prevent repeated use.

L. Document Consistency and Party Details

L-1 (Low) — Lender's email domain. Term Sheet §1.1 gives the primary contact's email as mprideaux@**coastalheritagebank.com** for Calverley Heritage Bank. This appears to be a carry-over from a prior name or a template. Confirm the correct address for the notice provisions (Mortgage §18.2 and Exhibit E list the postal address and the contact, not the email).

L-2 (Low) — Seller diligence. Schedule B-I Requirement 8(d) requires evidence that Hampstead Village Holdings LLC is authorized to convey; confirm it is the seller under the purchase contract, that its signatory authority is documented, and that good standing is confirmed.

L-3 (Low) — Organizational history. The Term Sheet recites formation under SOS Filing No. 2024-0011287; the operating agreement summary is of an "Amended and Restated" agreement effective January 12, 2024 "as amended through March 1, 2025." Confirm the March 1, 2025 amendment (D-5) and that the restated agreement is the operative document of record.

L-4 (Low) — No material inconsistency found between the Term Sheet, appraisal and ESA as to physical description (three stories; three retail bays at approximately 3,800 SF each; two office suites at 9,800 SF each; 31,000 SF gross; 0.38 acres / 16,553 SF; GB zoning; built 1952, renovated 2004). The 0.38-acre figure checks: 43,560 × 0.38 = 16,552.8 SF.

L-5 (Low) — Appraisal reporting format. The report is styled a "Summary Appraisal Report," a reporting option discontinued under USPAP with the 2020-2021 edition (the current options being Appraisal Report and Restricted Appraisal Report), and it refers to a "Complete Appraisal Report" retained in the appraiser's work file. Obtain the complete report for the Bank's appraisal file and confirm USPAP compliance on the face of the report.

L-6 (Low) — The rent roll workbook is internally correct on occupancy (56.13% by area; 60% by unit count, being 3 of 5) and is the only document in the record that reconciles. It should be the source of truth for the closing rent roll (A-2).

5. DRAFTING RESOLUTIONS ADOPTED IN THE FIRST DRAFT

Where the record was ambiguous, inconsistent or silent, I made the following choices. Each is flagged above at its issue reference and each is reversible on instruction.

Ref.	Ambiguity in the record	Resolution in the draft	Authority / basis
A-4	DSCR first test date (Apr. 15, 2027 vs. ~Jul. 15, 2027)	Term Sheet construction: first full quarter ending after month 24 (June 30, 2027; test on reporting)	Term Sheet §7.1 (controlling)
A-5	Net worth/liquidity covenants — Borrower or Guarantor	Borrower	Term Sheet §7.2
E-1	Yield maintenance — 1% floor retained or deleted	Retained: greater of 1% or YM, YM floored at zero	Term Sheet §4.2; not within my authority to reduce
E-2	50 bp placement; interest-differential vs. PV-of-payments	PV of remaining payments at the Note rate, discounted at Treasury	Supervision instruction; market standard; **client confirmation required**
E-3	Lockout prohibition vs. priced prepayment	Absolute prohibition + Lender's sole-discretion election to accept at greater of 1% or YM	Term Sheet §4.1 (prohibition); §4.2 (pricing)
E-4	Premium on casualty/condemnation prepayments	Applied at par, no premium	Market majority; insurability; **confirm**
E-5	Treasury reference tenor	Last day of Yield Maintenance Period, with interpolation	Supervision instruction; **confirm**
A-3	"Without cure" DSCR default	Added a two-use DSCR Cure Reserve deposit cure, not treated as a prepayment	Term Sheet §11.1(i) presupposes a cure; **confirm or delete**
D-2	Nothing restricts indirect/upstream transfers	Change of Control definition covering GDG, Tidewater GP and Harborline levels	Term Sheet §14.4; consistent with §5.5(a)(v) carve-out
F-4	No pari passu or equity-first requirement	Each draw conditioned on Borrower equity funding at 2.5:1 per Exhibit C	Term Sheet §8.4 (Borrower responsible for excess); §14.4
G-2	No cash management or DACA requirement	DACA/cash-management covenant operative on Lender request and automatically on default or DSCR failure	UCC control requirement; §14.4
B-4	No written approval of Permitted Exceptions	Exhibit B schedule prepared, subject to Lender's written approval	Term Sheet §5.6
I-2	LUR covenants and LUR default required by closer's note	Full Article 11 + §§14.1(k), 14.2(c) (no cure)	Title Commitment Notes ¶1; Requirement 6
B-1	Anson Lane coverage unconfirmed	Affirmative coverage obligation; representation as to quitclaim provenance	Title Commitment Notes ¶3; supervision instruction

Ref.	Ambiguity in the record	Resolution in the draft	Authority / basis
J-3	Non-recourse scope	Limited recourse with enumerated Recourse Events; environmental and indemnity obligations carved out	Term Sheet §5.5(a)
—	Recording formalities	Single subscribing witness + South Carolina notarial acknowledgment	**Confirm requirements (B-10)**

Provisions included in the draft that the Term Sheet does not expressly require (all justified under Term Sheet §14.4 and consistent with its terms, but each should be confirmed as acceptable to the Borrower):

(a) the Change of Control restriction (§6.4(c), D-2); (b) the Independent Manager and bankruptcy-remoteness covenants (§6.3, D-1); (c) Article 11 environmental and LUR covenants beyond the Term Sheet's general environmental covenant, including the annual vapor barrier inspection and the no-cure LUR default (I-2, I-3); (d) the DSCR Cure Reserve (§§9.4, 12.2, A-3); (e) the cash-management/DACA covenant (§9.7, G-2); (f) the pari passu equity-funding condition and the overrun pre-funding covenant (§§8.2(g), 8.5, F-4); (g) retainage mechanics with defined release conditions (§8.3, F-1); (h) the tenant preferential-right acknowledgment covenant (§5.8, C-3); (i) the subordination of related-party fees and the Distributable Cash Flow definition (§5.17); (j) the annual vapor barrier inspection and reporting (§11.1(c), (e)); (k) the lender right to complete the work without relieving the completion guaranty (§8.7); (l) the partial-payment/repeated-cure limitation on payment defaults (§14.2(a)); (m) the 30-day Unavoidable Delay extension to the Substantial Completion default (§14.3, F-6).

6. OPEN ITEMS AND REQUESTED ACTIONS

6.1 Items requiring the Lender's decision before the draft is released (April 1).

Ref.	Decision required
A-1	Accept the appraisal, require a corrected appraisal, or commission a review appraiser
A-3	DSCR restructuring: covenant level, first test date, cure right, or reserve
J-1	Extend the interest-shortfall guaranty through the first DSCR test, or fund a debt service reserve
E-1/ E-2	Confirm yield maintenance: 1% floor retained; 50 bp placement; treasury tenor; and whether the Term Sheet is to be confirmed/amended in writing
E-3/ E-4	Confirm the lockout election mechanic and no-premium treatment of casualty/condemnation prepayments
D-2	Confirm acceptance of an indirect change-of-control restriction (Term Sheet is entity-level only)
A-5	Confirm whether a Guarantor-level liquidity covenant is intended
A-8	Rate cap and cash-management triggers
D-4	Whether audited financial statements are required, or reviewed statements acceptable
A-7	Produce the credit approval and any underwriting exception approval
B-9	Confirm flood panel/zone

6.2 Diligence items to be requested immediately.

Ref.	Item	From
A-1 / L-5	Complete appraisal report, and appraiser clarification of the reconciliation	Pinnacle Valuation Services
D-5	Full unredacted operating agreement, all schedules, and the March 1, 2025 amendment	Cartwright & Lyons LLP (Borrower's counsel)
D-1	Operating Agreement Amendment (form to be prepared by us), executed by all three members	Borrower
D-1	Tidewater LP agreement or GP authorization certificate	Borrower / Tidewater GP Holdings LLC
D-6	Good standing and authority certificates, Tidewater and Harborline	Borrower
D-3	Registered agent confirmation	South Carolina Secretary of State
F-7	Executed GC Contract, all schedules, exhibits and amendments; affinity disclosure re Beaufort Builders	Borrower
B-1	Written coverage confirmation and endorsement quote for the Anson Lane strip	Prestige Title / Commonwealth National
B-6	Endorsement availability and pricing (zoning, access, survey, comprehensive, future advance, encroachment, mechanics' lien)	Prestige Title
B-2	Survey re-certification within 90 days of closing	Cartwright Land Surveying LLC
B-5	City encroachment permit or written confirmation that none is required	Borrower / City of Charleston
I-1	CP satisfaction memorandum recording the Phase II waiver	Lender (internal)
I-3	Vapor barrier inspection by a licensed environmental professional	Borrower
I-4	Architect/GC confirmation that no work penetrates the Bay 1 slab	Borrower / Architect
A-6	Borrower's closing statement / updated sources and uses; evidence of additional equity	Borrower
F-1 / F-2 / F-3	Recast draw schedule with retainage, reconciled to budget and to the lease-up assumptions	Borrower
C-1 / C-2 / C-3	Estoppels, SNDAs and preferential-right acknowledgments from all three tenants	Borrower
J-4	Guarantor personal financial statement, tax returns, liquidity schedule	Guarantor
B-4	Signed approval of the Permitted Exceptions schedule (Exhibit B)	Lender
B-10	Confirmation of recording fees/mortgage tax, and of acknowledgment/witness requirements	Prestige Title / local counsel

6.3 Conforming changes to the Mortgage before execution. Exhibit A (insert the surveyor's metes-and-bounds description and the deed recording data, and remove the drafting note); Exhibit E (insert the correct registered-agent name and remove the drafting note); Schedule 4.1(n) (conform rents to the executed leases and estoppels); the closing date references throughout (April 15, 2025, and the derived dates — Maturity Date, Interest-Only Period, Yield Maintenance Period, Substantial Completion Deadline — must be

conformed to the actual closing date); and Exhibit B if the Lender's Permitted Exceptions approval differs.

7. ITEMS I COULD NOT RESOLVE

In fairness to you and to Marcus, these are the points on which I am not able to give a concluded view on the present record:

(a) **Whether the collateral value supports the Loan.** The appraisal is internally irreconcilable (A-1) and its occupancy premise is wrong (A-2). Until one of those is corrected, the 81.04% as-is LTV — and therefore the credit decision — cannot be validated. I do not express a view on value.

(b) **Whether the DSCR covenant can be satisfied in any realistic scenario.** On the record, it cannot (A-3). Whether the shortfall is addressed by loan size, IO extension, covenant level, reserve or guaranty is a credit decision for the Bank.

(c) **The treatment of the 50 bp spread in the yield maintenance formula** (E-2). Your reading is the better commercial reading; the Term Sheet's text supports the other. This needs the Bank's written confirmation, and I have drafted to your instruction rather than attempting to split the difference.

(d) **The scope and quality of title coverage over the Anson Lane strip** (B-1). The commitment does not commit to affirmative coverage and reserves the right to limit it. Until Prestige and Commonwealth respond in writing, I cannot confirm there is no gap in the insured collateral.

(e) **The extent of the strip and the access rights it supports** (B-1). The title commitment and the Phase I ESA describe the strip differently, and no survey extract is in the record. This bears on the tenants' rear access, loading and parking entitlements, and therefore on the lease representations and the estoppels.

(f) **South Carolina recording formalities, the applicability of the 0.37% rate to a mortgage instrument, and whether the Uniform Assignment of Rents Act citation is § 29-3-610 or § 29-3-100** (B-10, C-1). These are confirmable items rather than analysis, and I have flagged them rather than resolving them from secondary recollection.

(g) **Whether Borrower's counsel will accept the additions in Section 5** — in particular the change-of-control restriction, the Independent Manager amendment and the no-cure LUR and SPE defaults. The Operating Agreement Amendment is the most likely flashpoint, because it requires all three members and alters governance rights that the passive members bargained for.

8. LIMITATIONS

This memorandum is prepared for the internal use of Fielding, Ashworth & Cole LLP and its client in connection with the Loan, is privileged and confidential, and is not to be relied upon by any other person. It reflects the documents listed in Section 2.1 and no others; I have not reviewed the executed construction contract, the unredacted operating agreement, the complete appraisal, the full Phase I ESA report, the purchase and sale agreement, the credit approval, the Borrower's or Guarantor's financial statements, or any SCDHEC file materials. Legal conclusions are limited to the matters identified, are based on the documents reviewed, and should be confirmed against current South Carolina authority before any written opinion is given. All figures have been recomputed from the source documents, but the underlying data have not been independently audited. Where I have identified a discrepancy, I have recorded

both the record figure and my recomputation so that the point can be verified rather than accepted.

I am available to walk through any of the above before the Wednesday call.